Economics - Undergraduate Level Assessment 2 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. What are the effects an increase in the money supply on output on prices in the short run and in the long run?
   (a) Short run: increase in output, Long run: increase in general price level
   (b) Short run: decrease in output, Long run: no change in general price level
   (c) Short run: decrease in output, Long run: increase in general price level
   (d) Short run: increase in general price level, Long run: decrease in output
   (e) Short run: no change in output, Long run: increase in general price level
2. Marginal cost always intersects average variable cost at
   (a) the minimum of average total cost
   (b) the point where average variable cost is equal to marginal cost
   (c) the profit-maximizing quantity
   (d) the maximum of average variable cost
   (e) the point of equilibrium between supply and demand
3. Which of the following is an example of capital as an economic resource?
   (a) A barrel of crude oil
   (b) A music concert ticket
   (c) A valuable painting
   (d) An apartment for rent
   (e) A bushel of wheat
4. The price elasticity of demand for a product is greater if
   (a) the proportion of the good of the consumer's budget is high.
   (b) the number of substitute products is limited.
   (c) the product is unique and has no substitutes.
   (d) the consumer has a high income.
   (e) the period of time to respond to a price change is short.
5. Investment demand most likely increases when
   (a) the stock market experiences a downturn.
   (b) inflation rates rise.
   (c) the real rate of interest rises.
   (d) the economy enters a recession.
   (e) global economic instability is high.

True / False (10 marks)

Answer True or False

6. True or False: Increasing the prices of public goods can help eliminate the free rider problem by e
7. True or False: An increase in demand, coupled with a decrease in supply, will lead to a higher eq
8. True or False: Negative residual autocorrelation is shown by a consistent upward trend in the res
9. True or False: Average product (AP) increases when marginal product (MP) is greater than AP a
10. True or False: An increase in the international demand for Mexican-made textiles will shift the de

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the reasons why the United States, despite having the most efficient agriculture in the world, may still choose to import food, considering economic and trade factors.
12. Discuss the potential impacts of an expansionary monetary policy by the Federal Reserve on net exports and analyze the mechanisms through which these effects occur.

End of Paper